Stranded Iron

The cold-stacked offshore rig fleet as salvage-grade bridge power: thesis, inventory, and execution

The Grid Wire. Special Analytical Report. Andrea Himmel of LAND. July 27, 2026

A note on method. This report develops a single acquisition thesis: distressed cold-stacked offshore drilling rigs contain modern medium-speed engine plants that can be acquired near recycling prices and redeployed as onshore or dockside bridge generation inside the gas turbine gap. Every rig is named. Every verifiable specification is stated from the owner's published rig specification sheet or filed disclosure; unverified figures are marked n/d or flagged as class-typical. Valuations are Esgian assessments as reported in trade press and are data points, not primary sources. Nothing herein is investment advice.

I. The Thesis in One Paragraph

The binding constraint on AI infrastructure deployment is dispatchable generation, and the marginal megawatt is now priced by the gas turbine queue: lead times run past 2029 and backlogs reach eight years. At the same time, three offshore drillers, Transocean, Valaris, and Noble, are liquidating a pool of cold-stacked drillships, each of which contains a 40 to 48 MW medium-speed diesel-electric power plant of 2009 to 2023 vintage, built on the same engine platforms (Wartsila 32, MAN 32/40, HD Hyundai HiMSEN H32/40) that OEMs sell new as land power plants today. Realized non-drilling sale prices imply hull-in acquisition costs near 450 to 500 dollars per kW of installed generation, against 1,000 to 1,600 dollars per kW for new gas reciprocating capacity on an 18 to 36 month queue. The trade is to bid these hulls against recyclers, harvest or dockside-deploy the plants, convert to gas where the deployment site has molecules, and sell bridge power into the 2026 to 2029 turbine gap. The seller's alternative to the bid is the scrap torch, which is what makes the entry price structural rather than negotiated.

II. The Unit of Value

A seventh-generation drillship is a floating power station. The drilling equipment is electric; the "horsepower" of the rig is its genset hall. Two plants are verified from primary documents:

Ocean Rig Mylos (Transocean, Samsung 12000 design, delivered 2013). Main power: 6 x Wartsila 16V32 LowNOx diesel engines, 7,290 kW each, 43,740 kW total mechanical, driving 6 x ABB AMG 900 LSE generators, 7,000 kW each, 42,000 kW total electrical. Emergency power: 1 x STX Cummins QSK60DMGE, 2,547 kW. Distribution at 11 kV class. Source: Transocean published rig specification sheet.

Noble Don Taylor class (active fleet, reference for class architecture). 48 MW, 11 kV plant, 6 x HD Hyundai HiMSEN 16H32/40V engines, 8,000 kW each. Source: stated plant configuration of the operating vessel.

The engine platforms are not marine curiosities. More than 8,000 MW of Wartsila 32 generating sets have been delivered to land energy customers. HD Hyundai Heavy Industries supplied 33 natural-gas-fired HiMSEN engines for US data center power generation in May 2026. The salvage thesis buys the same iron at distressed marine prices instead of new-build energy prices.

A six-engine plant is natively N+1 redundant and was engineered to DP Class 3, a zero-blackout station-keeping standard stricter than Tier III data center availability requirements. Switchgear, transformers, and the power management system travel with the hull.

III. The Target Inventory

The cold-stacked drillship pool is 12 rigs, all delivered 2009 to 2023, controlled by three owners. Every unit is listed below with its distress marker.

Rig	Owner	Design / Del.	Power plant	Stack status	Value signal
Discoverer Clear Leader	Transocean	Enh. Enterprise / 2009	6-engine Wartsila 32-class, ~40 MW (exact: n/d)	Greece, since 2019; held for sale	$64-75M assessed
Discoverer Americas	Transocean	Enh. Enterprise / 2009	same class (n/d)	Greece, since 2016; held for sale	$64-75M assessed
Discoverer India	Transocean	Enh. Enterprise / 2010	same class (n/d)	Greece, since 2020; held for sale	in disposal group
Discoverer Inspiration	Transocean	Enh. Enterprise / 2010	same class (n/d)	held for sale	$64-75M assessed
Deepwater Champion	Transocean	GustoMSC P10000 / 2010	6-engine 32/40-class (n/d)	Greece, since 2016; held for sale	$144-159M assessed
Ocean Rig Mylos	Transocean	Samsung 12000 / 2013	42.0 MW verified	Greece, 7+ years	$119-134M assessed
Ocean Rig Athena	Transocean	Samsung 12000 / 2014	sister, ~42 MW	Greece, 7+ years	$119-134M assessed
Ocean Rig Apollo	Transocean	Samsung 12000 / 2015	sister, ~42 MW	Greece, 7+ years	$119-134M assessed
Valaris DS-11	Valaris	DSME 12000 / 2013	6-engine plant, ~40 MW class (n/d)	Las Palmas, since 2022	$171-189M assessed

Rig	Owner	Design / Del.	Power plant	Stack status	Value signal
Valaris DS-13	Valaris	DSME 12000 / 2023	never-run plant, ~40 MW class (n/d)	Las Palmas, never worked	acquired in $337M pair
Valaris DS-14	Valaris	DSME 12000 / 2023	never-run plant, ~40 MW class (n/d)	Las Palmas, never worked	acquired in $337M pair
Noble Globetrotter II	Noble	HuisDrill 12000 / 2013	n/d	US Gulf, for sale	n/d

Adjacent salvage-grade semisubmersibles: Transocean Development Driller III (held for sale), Henry Goodrich (1985, disposal, towed to Norway 2025), and Valaris DPS-3, DPS-5, DPS-6 (retired February 2025, designated for alternative use or scrap). Plant data: n/d per unit pending registry pull.

Aggregate harvestable nameplate across the drillship pool: approximately 500 to 600 MW, in roughly 75 to 90 individual gensets of 7 to 9 MW each.

Jackups are excluded from the core inventory. Their plants are small (typically 5 to 15 MW of high-speed sets) and the segment is re-absorbing: Saudi Aramco has confirmed restarts for suspended units into 2026.

IV. The Distress Evidence

The sellers are price-takers, and the record proves it.

Transocean is the forced seller. It has announced the sale of Deepwater Champion, Discoverer Americas, Discoverer Clear Leader, and Discoverer India, all cold-stacked over five years, for non-drilling purposes, and is recording a non-cash impairment of approximately $1.9 billion. Implied total proceeds for the four drillships: under $250 million. It has already disposed of Discoverer Luanda and GSF Development Driller I (July 2025) and classified Development Driller III and Discoverer Inspiration as held for sale. After the current disposals, its cold-stacked fleet reduces to the three Samsung 12000 Ocean Rigs.

Realized comps set the floor. Noble recycled the seventh-generation Pacific Meltem and sixth-generation Pacific Scirocco for an aggregate $41 million in 2025. A 2014-built seventh-generation hull containing a roughly 45 MW plant cleared at roughly $20 million: approximately 450 to 500 dollars per kW, hull-in. Earlier comps: Pacific Mistral $10 million, Pacific Bora $14.5 million (2021).

The drilling path is closed. Reactivation for drilling costs $100 to 150 million per rig. Contracted competitive drillship utilization is projected near 80 percent by mid-2026 with rigs rolling off contract and no confirmed follow-on work. Owners will not reactivate because doing so bids against their own active fleets. Since 2018, 28 drillships have exited the market: 24 recycled, 4 sold for conversion. The recycler is the marginal buyer. Any bid above scrap parity wins the asset.

V. The Buy-Side Math

Path to a dispatchable MW	$/kW (indicative)	Lead time
New large-frame gas turbine	$1,300-2,000+	Slots past 2029; backlogs to 8 years
New gas recip plant (Wartsila / HiMSEN / Jenbacher)	~$1,000-1,600 installed	18-36 months, order books filling
Aeroderivative bridge (ProEnergy-model, ex-aviation cores)	premium rental economics	~2027 delivery
Rig salvage: hull at recycling parity	~$450-500 acquisition + $300-500 extraction, overhaul, gas conversion	12-18 months

All-in cost lands near 800 to 1,000 dollars per kW for 2013 to 2023 vintage engines, delivered inside the turbine gap window. The Valaris DS-13 and DS-14 plants have effectively zero operating hours; the rigs never worked. Dual-fuel and gas conversion is an established OEM service line on the 32-series platform, which is what connects the asset to stranded Permian molecules at structurally negative Waha basis rather than to diesel at $150 to 200 per MWh of fuel.

The condition tell: Valaris has actively marketed DS-13 and DS-14 and third-party assessment puts drilling reactivation at only $40 to 50 million over six months, which documents maintained condition. Condition risk concentrates instead in the Greek-stacked units idle seven-plus years.

VI. Execution Structure

Acquisition. Bid the Transocean held-for-sale group and the Valaris DPS semisubmersibles against recyclers. Modern American Recycling Services (Amelia, Louisiana) is the US Gulf clearing house; every hull it wins is a plant lost to the torch. Noble Globetrotter II is the jurisdictionally cleanest first unit: already in the US Gulf, no transatlantic tow.

Priority ranking.

1. Valaris DS-13 / DS-14: zero-hour DSME 12000 plants, documented condition, single stack location (Las Palmas).
2. Noble Globetrotter II: US Gulf location, shortest logistics chain.
3. Ocean Rig Mylos / Athena / Apollo: verified 42 MW plants, sister-ship parts commonality, but Greek location and 7+ idle years add tow cost and overhaul risk.
4. Enhanced Enterprise quartet: oldest engines (2009-2010), cheapest entry, deepest condition discount.

Overhaul chain. Goltens and OEM service networks (Wartsila, HD Hyundai Engine and Machinery, Everllence ex-MAN Energy Solutions) run active remanufacture programs for the 32-class platform. Parts availability is a solved problem; these engines are current production families.

Deployment models. (a) Engine harvest: extract gensets, containerize or skid-mount, redeploy at Permian behind-the-meter gas-to-power sites in 40 to 90 MW blocks, below large-load interconnection friction. (b) Intact-hull dockside: moor the vessel, run shore cable, serve a coastal load. Precedent: Karpowership operates more than 7,000 MW globally on repurposed ships fitted with used reciprocating engines, proof that this engine class runs decades in utility service after marine life.

Sizing fit. A 42 to 48 MW block matches a single-building AI campus phase. Six-engine architecture provides native N+1; two hulls provide a 2N campus.

VII. The Regulatory Gate

The binding diligence item is stationary-source permitting. Marine engines carry IMO certification, not EPA stationary certification. Continuous non-emergency operation onshore triggers NSPS and RICE NESHAP requirements and, at 40 MW scale on liquid fuel, major-source NSR/PSD review. The gas-conversion path plus SCR aftertreatment is the permitting route, and it must be validated with TCEQ on a test unit before any hull bid. This is a gate, not a footnote: the falsification condition on the entire thesis lives here.

VIII. Falsification Conditions

1. A completed engine-harvest transaction pricing above approximately $700 per kW all-in kills the spread.
2. The Transocean held-for-sale group clearing to a national oil company at drilling values (Turkish Petroleum has been rumored for up to four drillships) removes the cheap supply.
3. Gas recip OEM lead times normalizing below 18 months collapses the bridge premium.
4. Regulatory refusal to permit converted marine engines for non-emergency stationary service in any US test case closes the onshore path entirely.
5. Waha basis normalizing above minus $1.00 per MMBtu on pipeline relief removes the fuel-cost edge of the gas-conversion variant.

IX. Sources

Primary: Transocean published rig specification sheets (deepwater.com); Transocean fleet status reports and disposal announcements (Q3 2025 impairment disclosure); Valaris fleet status reports and DS-13/DS-14 acquisition disclosure ($337 million aggregate, financed via 8.375 percent second-lien notes); Noble Corporation fleet disposals; HD Hyundai Engine and Machinery announcement of 33 gas engines for US data center power (May 2026).

Data points, flagged as such: Esgian rig valuations and utilization projections as reported by Offshore Magazine, Offshore Engineer, and Marine Link (2025-2026); Westwood RigLogix idle-fleet counts; Rystad reactivation cost ranges; NOV 2025 rig census; trade press reporting on ProEnergy aeroderivative deployments and gas turbine lead times.

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